

Student: _____
Date: _____
Time: _____

Instructor: Alejandro Melo Ponce
Course: ECO108-Summer 2015
Book: Miller: Economics Today 18e

Assignment: Assignment 2

1. Other things remaining equal, the law of demand says that higher prices will lead to a
- ☐ A. smaller quantity demanded and lower prices to a smaller quantity demanded.
 - ☐ B. larger quantity demanded and lower prices to a larger quantity demanded.
 - ☐ C. smaller quantity demanded and lower prices to a larger quantity demanded.
 - ☐ D. larger quantity demanded and lower prices to a smaller quantity demanded.

Answer: C

2.

	Money Prices	
	2003	2004
Hospital Room (1 day)	\$300	\$325
Hotel Suite (1 night)	\$400	\$425

Based on the table above, which of the following is true?

- ☐ A. The money prices of both goods increased, the relative price of hospital rooms increased, and the relative price of hotel suites decreased.
- ☐ B. The money prices of both goods increased and the relative prices of both goods decreased.
- ☐ C. The money prices of both goods increased, the relative price of hospital rooms decreased, and the relative price of hotel suites increased.
- ☐ D. The money prices of both goods increased and the relative prices of both goods increased.

Answer: A

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3. Suppose that the price of a bag of coffee is \$15 and the price of a T – shirt is \$9. What is the relative price of a bag of coffee?

- ☐ A. 0.600
☐ B. 6.000
☐ C. 24.000
☐ D. 1.667

What is the relative price of a T – shirt?

- ☐ A. 6.000
☐ B. 1.667
☐ C. 24.000
☐ D. 0.600

Answers D
 D

4. The following table indicates the demand schedules for four types of consumers: **A**, **B**, **C**, and **D** and the number of consumers in each group (top row). The quantity demanded by each type of consumer (Q_A , Q_B , Q_C , and Q_D) is shown for market prices ranging from \$10 down to \$4. What is the combined quantity demanded at a market price of \$6?

Number of Consumers				
	A = 200	B = 300	C = 300	D = 200
Market Price	Q_A	Q_B	Q_C	Q_D
\$10	0	0	1	1
9	0	1	2	3
8	1	3	3	5
7	2	5	4	8
6	3	7	5	11
5	4	9	6	15
4	5	11	7	20

- ☐ A. 384,000 ☐ B. 6,400 ☐ C. 6,500 ☐ D. 25,000

Answer: B

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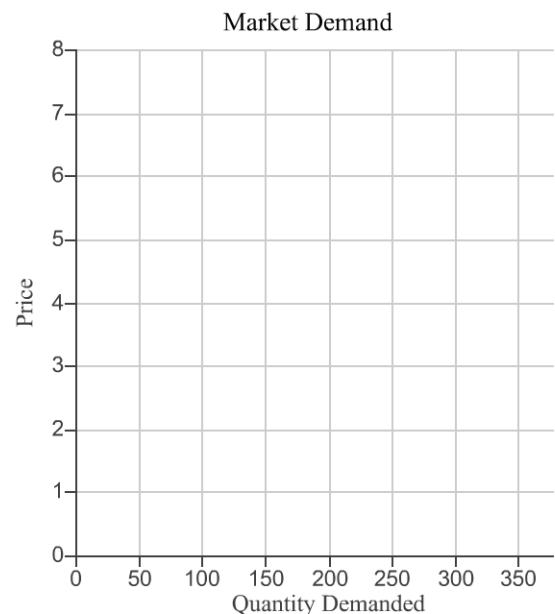
5. Suppose a market consists of 10 buyers, each of whom is assumed to have the identical demand schedule given by:

Price (\$ per unit)	Quantity Demanded
\$5	5
\$4	10
\$3	15
\$2	20
\$1	25

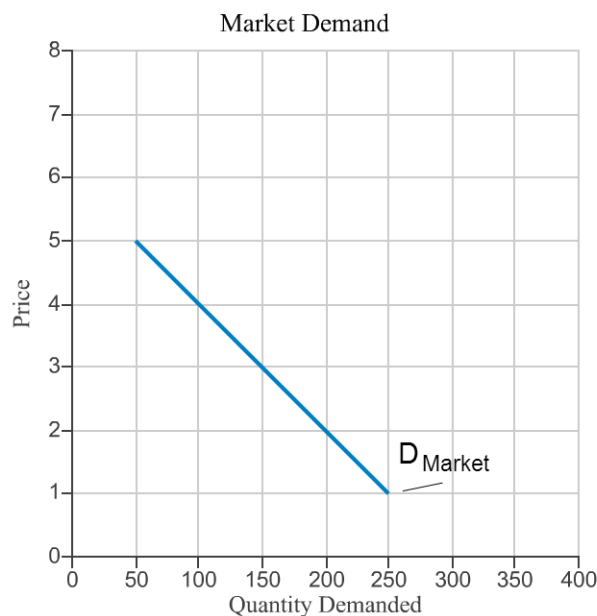
On the graph to the right:

Using the multipoint curve drawing tool, draw market demand curve. Properly label this line.

Carefully follow the instructions above, and on the graph to the right, draw the required object.



After plotting the final point of your multipoint curve, press the Esc key on your keyboard to end the line.



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6. Suppose that in a recent market period, an industrywide survey determined the relationship between the price of prerecorded movie DVDs, the quantity supplied, and quantity demanded shown in the table below and depicted in the graph at right.

Price	Quantity Demanded	Quantity Supplied
\$20	100 million	40 million
\$21	90 million	60 million
\$22	80 million	80 million
\$23	70 million	100 million
\$24	60 million	120 million

Suppose that a survey for a later market period indicates that the quantities supplied in the table are unchanged, but the quantity demanded has increased by 30 million units at each price.

- 1.) Using the multipoint curve drawing tool, draw and label the new demand curve for movie DVDs. Properly label this line.
- 2.) Using the point drawing tool, indicate the new equilibrium point. Label it 'E₁'.

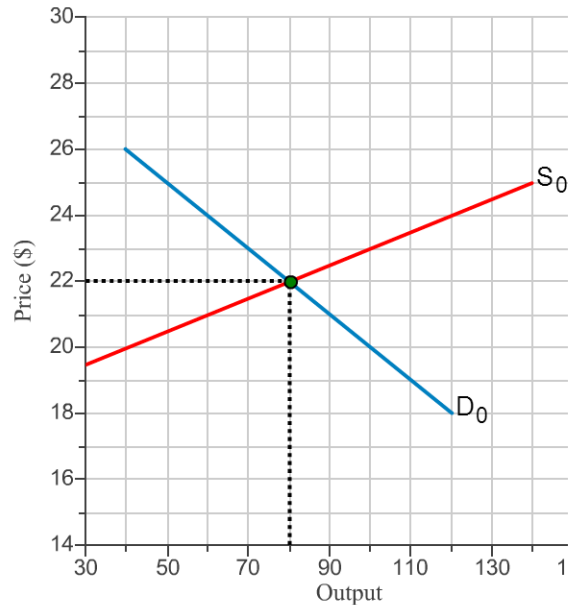
Carefully follow the instructions above, and only draw the required objects.

Demand has

decreased
remained the same
increased

What is the new equilibrium price? \$.

What is the new equilibrium quantity? million units.



After plotting the final point of your multiple curve, press the Esc key on your keyboard to end the line.

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6.

(cont.)

If a change in ceteris paribus condition described below could cause the demand to increase, indicate 'yes'. Otherwise, indicate 'no'.

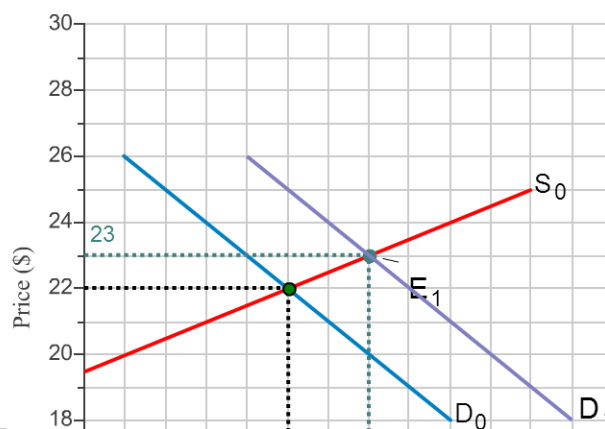
An increase in the number of buyers.

A decrease in the cost of production.

Consumer incomes decrease (*DVDs are a normal good*).

The price of movie downloads rises.

The number of sellers increases.

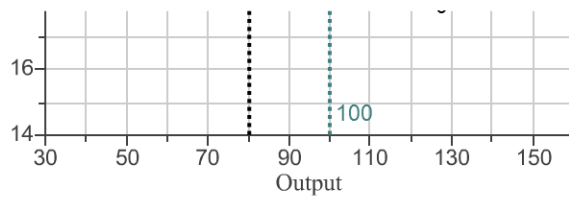


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6.
(cont.)



Answers

Output

increased

23

100

yes

no

no

yes

no

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7. Indicate whether the following events would cause an "increase or a decrease in demand" or an "increase or a decrease in the *quantity demanded*" for cable-based Internet access service, which is a normal good.

a. Firms providing wireless (an alternative to cable) Internet access services reduce their prices. This will cause a(n)

☐ A. decrease in demand.

☐ B. increase in demand.

☐ C. increase in quantity demanded.

☐ D. decrease in quantity demanded.

b. Firms providing cable-based Internet access services reduce their prices. This will cause a(n)

☐ A. increase in demand.

☐ B. decrease in demand.

☐ C. increase in quantity demanded.

☐ D. decrease in quantity demanded.

c. There is a decrease in the incomes earned by consumers of cable-based Internet access services. This will cause a(n)

☐ A. increase in quantity demanded.

☐ B. decrease in demand.

☐ C. decrease in quantity demanded.

☐ D. increase in demand.

d. Consumers' tastes shift away from using wireless Internet access in favor of cable-based Internet access services.

☐ A. increase in demand.

☐ B. increase in quantity demanded.

☐ C. decrease in demand.

☐ D. decrease in quantity demanded.

Answers A

C

B

A

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8. Consider the following cases.

a. If the price of bacon rises, and as a result the demand for sausage increases, this implies that

these two goods are

substitutes
complements
unrelated

b. If the price of tennis racquets falls, and as a result the demand for tennis balls

increases
stays unchanged
decreases

, this implies that these two goods are complements.

c. If the price of coffee rises, and as a result the demand for sugar falls, this implies that these

two goods are

substitutes
complements
unrelated

d. If the price of automobiles

falls
rises
stays the same

, and as a result the demand for motorbikes falls,

this implies that these two goods are **substitutes**.

Answers **substitutes**

increases

complements

falls

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9. Identify which of the following would generate an increase in the market demand for tablet devices, which are a normal good.

- I. A decrease in the incomes of consumers of tablet devices.
- II. An increase in the price of ultrathin computers, which are substitutes.
- III. An increase in the price of online apps, which are complements.
- IV. An increase in the number of consumers in the market for tablet devices.

- ☐ A. Both II and IV.
- ☐ B. Both II and III.
- ☐ C. Only I.
- ☐ D. Only II.

Answer: A

-
10. All of the following pairs of goods are substitutes *except*

- ☐ A. we observe the price of bacon increases and the demand for eggs decreases.
- ☐ B. we observe the price of coffee increases and the demand for tea increases.
- ☐ C. we observe the price of tennis racquets decreases and the demand for golf clubs decreases.
- ☐ D. we observe the price of automobiles decreases and the demand for public transit decreases.

All of the following pairs of goods are complements *except*

- ☐ A. we observe the price of bacon decreases and the demand for sausage increases.
- ☐ B. we observe the price of tennis racquets increases and the demand for tennis shoes decreases.
- ☐ C. we observe the price of coffee decreases and the demand for tea decreases.
- ☐ D. we observe the price of automobiles decreases and the demand for tires increases.

Answers A
C

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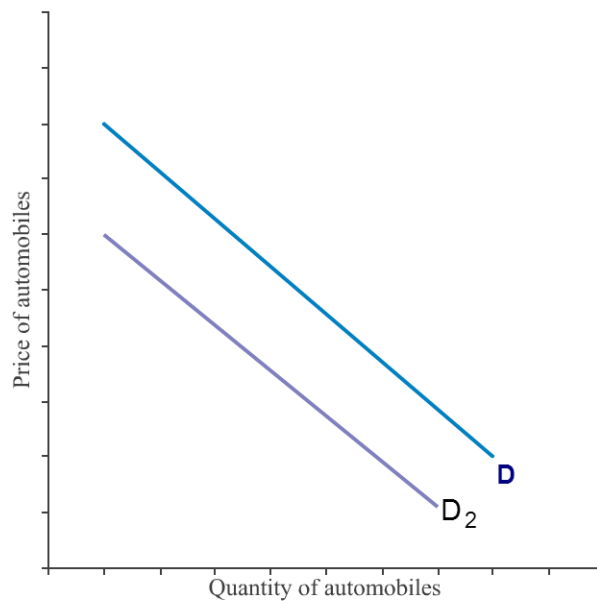
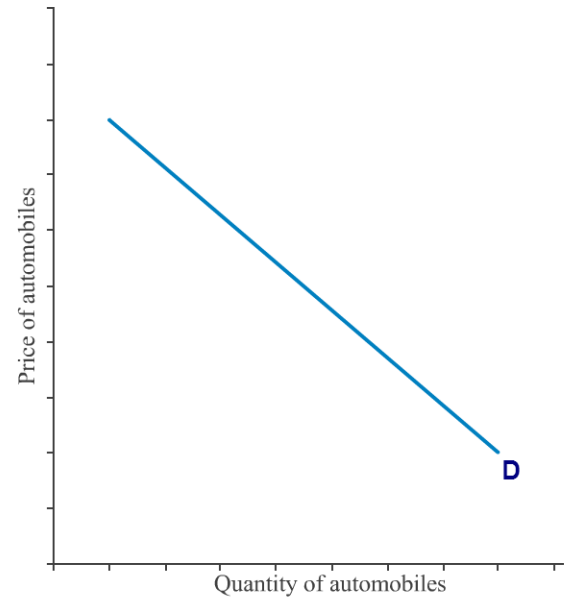
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11. The graph on the right shows the demand for automobiles.

Suppose that there is a decrease in the price of public transportation.

Using the line drawing tool, show the effect on the current demand curve. Label it 'D₂'.

Carefully follow the instructions above, and only draw the required objects.



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12. A rise in demand is represented by a leftward shift in the demand curve, and a fall in demand is represented by a rightward shift in the demand curve.

☐ A. False

☐ B. True

For substitutes, a change in the price of a product will cause a change in demand in the _____ direction for the other good. For complements, a change in the price of a product will cause a change in demand in the _____ direction for the other good.

☐ A. opposite; opposite

☐ B. same; opposite

☐ C. opposite; same

☐ D. same; same

Answers A

B

-
13. A change in a good's own price leads to a change in quantity demanded for any given demand curve.

☐ A. False

☐ B. True

Whenever there is a change in a *ceteris paribus* condition there will be a change in _____, which is represented by a _____.

☐ A. quantity demanded; shift in the entire demand curve

☐ B. demand; shift in the entire demand curve

☐ C. quantity demanded; movement from one point to another along the same demand curve

☐ D. demand; movement from one point to another along the same demand curve

Answers B

B

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14. According to the text, firms encounter rising costs when they attempt to produce more in the same time period. As a consequence, they must be offered a higher price to be willing to incur these higher costs. The resulting relationship between price and quantity supplied is
- ☐ A. direct (or positive) and is called the law of human nature.
 - ☐ B. inverse (or negative) and is called the law of supply.
 - ☐ C. direct (or positive) and is called the law of supply.
 - ☐ D. direct (or positive) and is called the law of demand.

Answer: C

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15.

The law of supply states that there is a positive
inverse relationship between the price and

the supply curve
the quantity supplied
the demand curve
the quantity demanded

Thus, as the price decreases,

- ☐ A. the supply decreases.
- ☐ B. the demand decreases.
- ☐ C. the quantity demanded decreases.
- ☐ D. the quantity produced by firms decreases.

According to the law of supply, as the price of the good decreases, it causes

- ☐ A. a movement downward along the supply curve.
- ☐ B. a movement upward along the supply curve.
- ☐ C. a shift of the supply curve to the right.
- ☐ D. a shift of the supply curve to the left.

Answers **positive**

the quantity supplied

D

A

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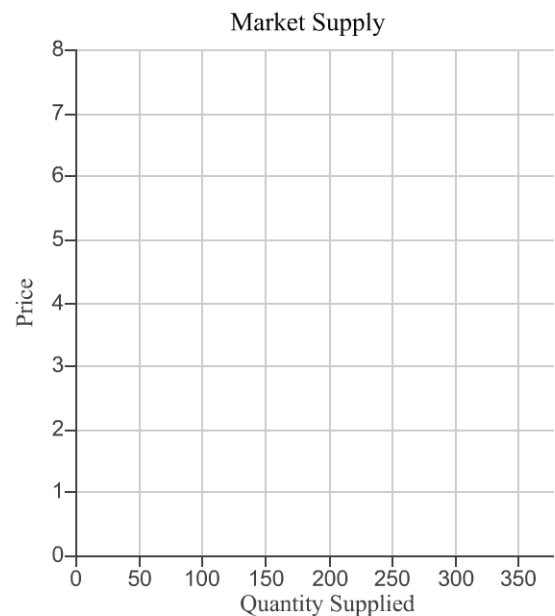
16. Suppose a market consists of 10 sellers, each of whom is assumed to have the identical supply schedule given by:

Price (\$ per unit)	Quantity Supplied
\$5	25
\$4	20
\$3	15
\$2	10
\$1	5

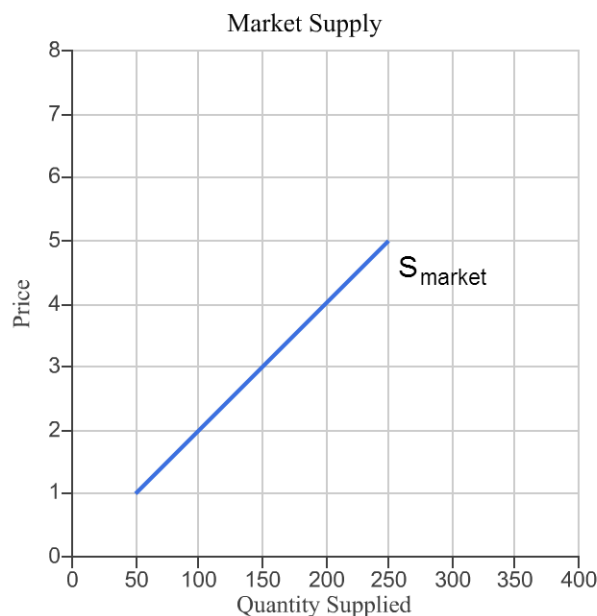
Using the data in the table, construct the market supply curve.

Using the multipoint curve drawing tool, draw the market supply curve. Properly label this line.

Carefully follow the instructions above, and on draw the required object.



After plotting the final point of your multipoint curve, press the Esc key on your keyboard to end the line.



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17. The following table indicates the supply schedules for four types of producers: **A**, **B**, **C**, and **D** and the number of producers in each group (top row). The quantity supplied by each type of producer (Q_A , Q_B , Q_C , and Q_D) is shown for market prices ranging from \$8 down to \$2. What is the combined quantity supplied at a market price of \$3?

Number of producers				
	A = 50	B = 60	C = 30	D = 20
Market Price	Q_A	Q_B	Q_C	Q_D
\$8	6	14	7	13
7	5	12	6	11
6	4	10	3	9
5	3	8	4	7
4	2	6	3	5
3	1	4	2	3
2	0	2	1	1

- ☐ A. 400 ☐ B. 410 ☐ C. 10 ☐ D. 1,230

Answer: B

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18. There are three producers of pastrami in San J table below depicts the willingness and ability producer to provide finished products to the m:

Price	Quantity Supplied		
	NYC Deli	Premium Cuts	Slic
\$5	2	0	6
\$10	4	2	8
\$15	6	3	1
\$20	8	4	1
\$25	10	5	1

Using the multipoint curve drawing tool, draw NYC Deli's supply curve. Label this line 'S_{firm}'

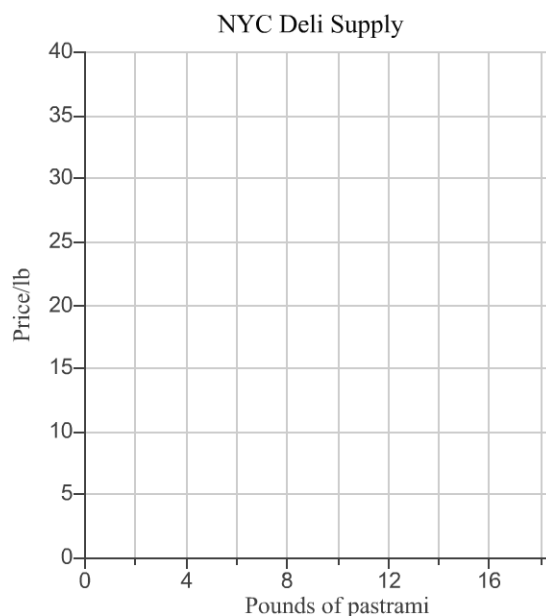
Carefully follow the instructions above, and on the required object.

What is the quantity supplied in the market for pastrami when the price is \$5 per pound?

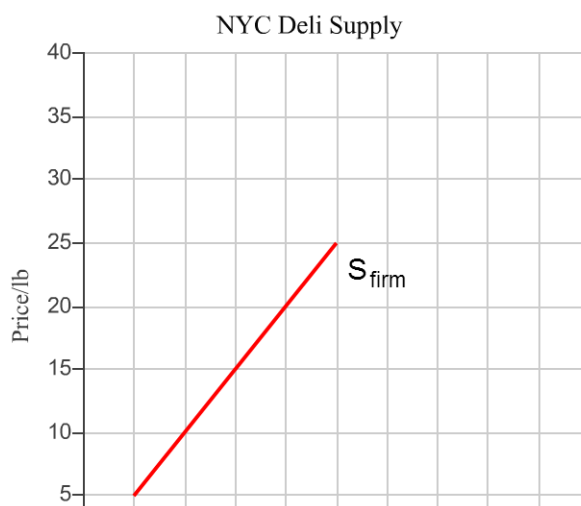
- ☐ A. 8 ☐ B. 12 ☐ C. 6 ☐ D.

What is the quantity supplied in the market for pastrami when the price is \$20 per pound?

- ☐ A. 14 ☐ B. 8 ☐ C. 30 ☐ D.



After plotting the final point of your multipoint curve, press the Esc key on your keyboard to end the line.

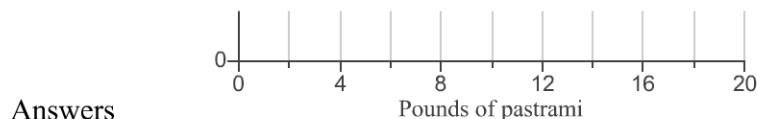


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18.
(cont.)



A
D

19. Consider the market for economics textbooks. Explain whether the following events would cause an increase or a decrease in supply or an increase or a decrease in the quantity supplied.

a. The market price of paper increases. This will cause a(n)

- ☐ A. increase in supply. ☐ B. increase in quantity supplied.
☐ C. decrease in supply. ☐ D. decrease in quantity supplied.

b. The market price of economics textbooks increases. This will cause a(n)

- ☐ A. increase in supply. ☐ B. increase in quantity supplied.
☐ C. decrease in supply. ☐ D. decrease in quantity supplied.

c. The number of publishers of economics textbooks increases. This will cause a(n)

- ☐ A. increase in supply. ☐ B. increase in quantity supplied.
☐ C. decrease in supply. ☐ D. decrease in quantity supplied.

d. Publishers expect that the market price of economics textbooks will increase next month. This will cause a(n)

- ☐ A. increase in supply. ☐ B. increase in quantity supplied.
☐ C. decrease in supply. ☐ D. decrease in quantity supplied.

Answers C
B
A
C

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20. Which of the following will cause an outward (rightward) shift in supply?

- ☐ A. The cost of an input increases.
- ☐ B. A decline in labor productivity.
- ☐ C. A technological improvement.
- ☐ D. A reduction in consumer incomes.

Answer: C

21. All of the following will decrease the supply of bus trips *except*

- ☐ A. a reduction in the number of bus companies offering service.
- ☐ B. a technological change that makes buses safer and more fuel-efficient.
- ☐ C. a rise in the price of diesel fuel.
- ☐ D. an increase in the salaries of drivers.

Answer: B

Student: _____
Date: _____
Time: _____

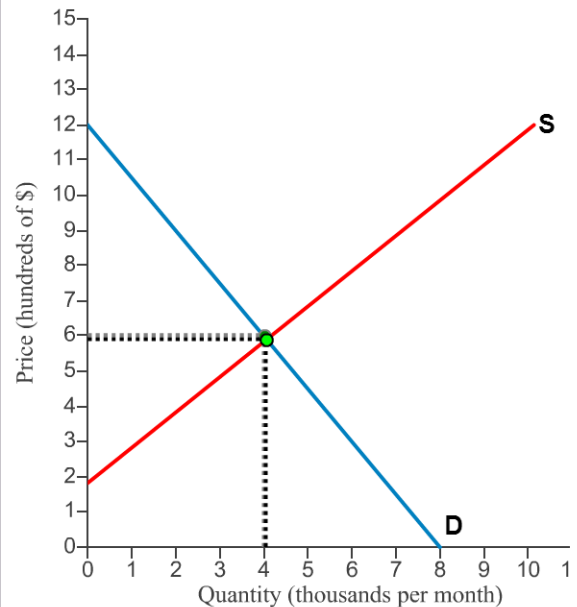
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22. Consider the market for laptop computers. Click on the graph to the right to determine how the following event will impact this market. Do this by illustrating the event on the graph and then assess its impact on the equilibrium quantity and the market price.

Event: The number of manufacturers of laptop computers increases.

- ☐ A. The supply decreases, causing the equilibrium quantity to fall and the market price to rise.
- ☐ B. The quantity supplied increases, causing the equilibrium quantity to rise and the market price to fall.
- ☐ C. The supply increases, causing the equilibrium quantity to rise and the market price to fall.
- ☐ D. The supply increases, causing the equilibrium quantity to fall and the market price to rise.



Answer: C

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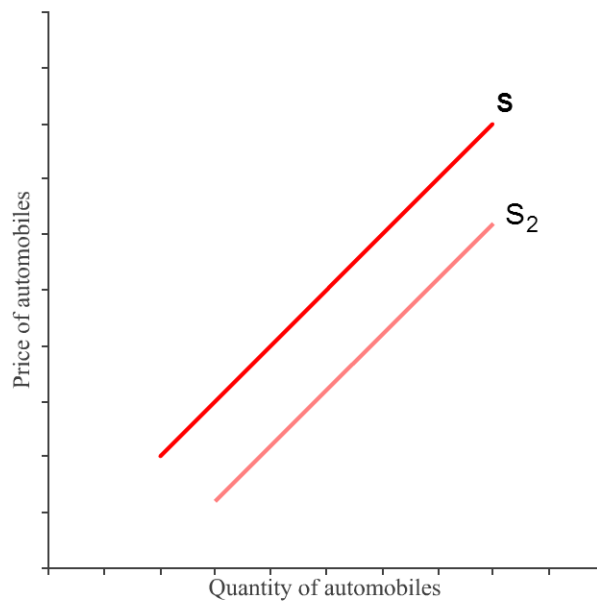
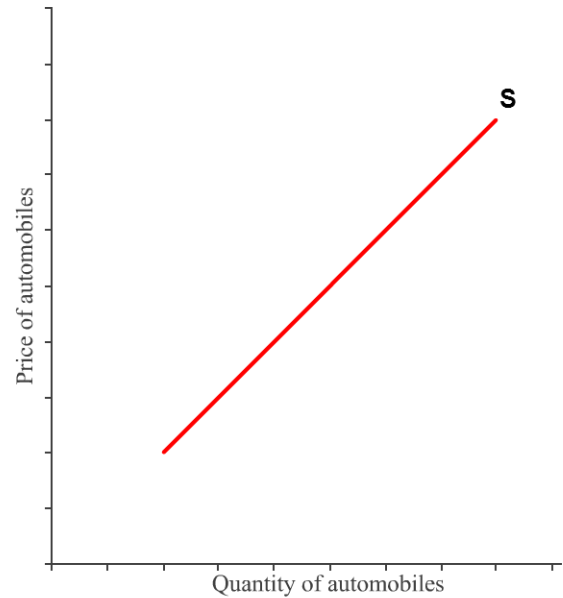
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23. The graph on the right shows the supply of automobiles.

Suppose that there is an increase in the number of firms in the market.

Using the line drawing tool, show the effect on the current supply curve. Label your new curve 'S₂'.

Carefully follow the instructions above, and only draw the required objects.



Answer:

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24. If the number of firms in an industry decreases, the supply curve will shift to the right.

- ☐ A. True
- ☐ B. False

A change in which of the following will result in a shift of the supply curve?

- ☐ A. taxes and subsidies
- ☐ B. technology and productivity
- ☐ C. cost of inputs used to produce the product
- ☐ D. All of the above.

Answers B
 D

25. A change in a good's own price leads to a change in supply, which shifts the supply curve.

- ☐ A. False
- ☐ B. True

Whenever there is a change in a *ceteris paribus* condition there will be a change in _____, which is represented by a _____.

- ☐ A. supply; movement from one point to another along the same supply curve
- ☐ B. quantity supplied; movement from one point to another along the same supply curve
- ☐ C. supply; shift in the entire supply curve
- ☐ D. quantity supplied; shift in the entire supply curve

Answers A
 C

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26. Suppose that in a recent market period, an industrywide survey determined the following relationship between the price of prerecorded movie Blu-rays and the quantity supplied and quantity demanded.

Price	Quantity Demanded	Quantity Supplied
\$18	120 million	60 million
\$19	110 million	80 million
\$20	100 million	100 million
\$21	90 million	120 million
\$22	80 million	140 million

Use information in the table to accurately draw supply and demand curves for movie Blu-rays.

- 1.) Using the multipoint curve drawing tool, draw and properly label the demand curve.
- 2.) Using the multipoint curve drawing tool, draw and properly label the supply curve.
- 3.) Using the point drawing tool, indicate and properly label the market equilibrium.

Carefully follow the instructions above, and then draw the required objects.

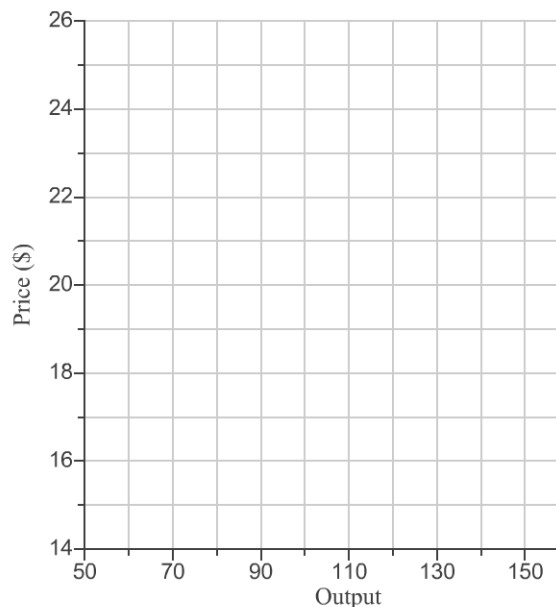
What is the equilibrium price? \$.

What is the equilibrium quantity? million units.

If the industry price of DVDs is \$21, there is a

shortage .
 surplus

How much is the shortage or surplus? million units.



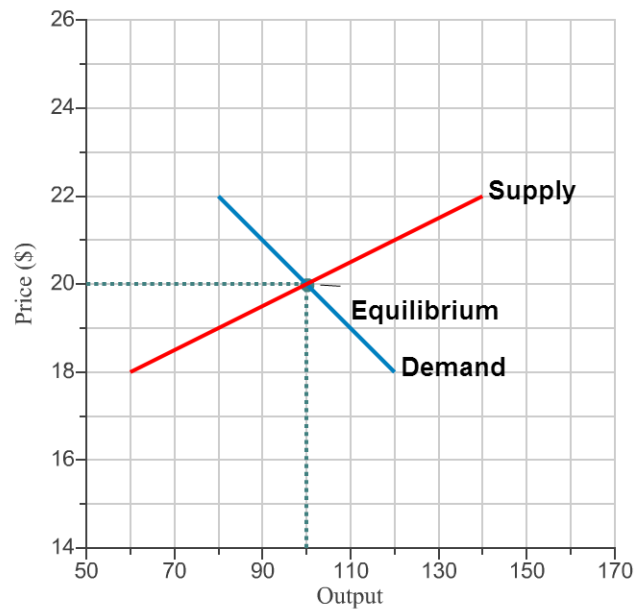
After plotting the final point of your multipoint curve, press the Esc key on your keyboard to end the line.

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26.
(cont.)



Answers

20
100
surplus
30

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27.

Consider the graph at right of a market for one-bedroom rental apartments in a college community.

a. At a rental rate of \$1,000 per month, there

is an excess quantity . The

amount of the excess quantity supplied is units.

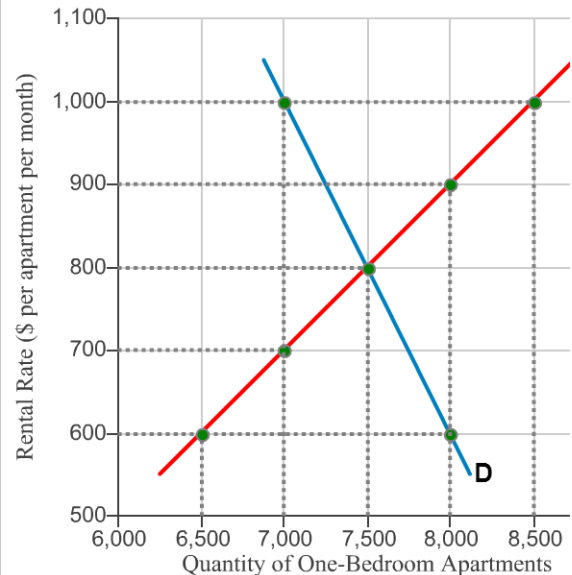
b. If the present rental rate of one-bedroom apartments is \$1,000 per month, through what mechanism will the rental rate adjust to the equilibrium rental rate of \$800?

- ☐ A. Since the price is below equilibrium, the surplus of apartments will cause the quantity supplied to rise and the quantity demanded to fall.
- ☐ B. Since the price is above equilibrium, the surplus of apartments will cause the quantity supplied to fall and the quantity demanded to rise.
- ☐ C. Since the price is below equilibrium, the shortage of apartments will cause the quantity supplied to rise and the quantity demanded to fall.
- ☐ D. Since the price is above equilibrium, the shortage of apartments will cause the quantity supplied to fall and the quantity demanded to rise.

c. At a rental rate of \$600 per month, there is

an excess quantity . What is the

amount of the excess quantity demanded? units.



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27.

(cont.)

d. If the present rental rate of one-bedroom apartments is \$600 per month, through what mechanism will the rental rate adjust to the equilibrium rental rate of \$800?

- ☐ A. Since the price is above equilibrium, the shortage of apartments will cause the quantity supplied to fall and the quantity demanded to rise.
- ☐ B. Since the price is below equilibrium, the surplus of apartments will cause the quantity supplied to fall and the quantity demanded to rise.
- ☐ C. Since the price is above equilibrium, the surplus of apartments will cause the quantity supplied to rise and the quantity demanded to fall.
- ☐ D. Since the price is below equilibrium, the shortage of apartments will cause the quantity supplied to rise and the quantity demanded to fall.

Answers **supplied**
 1,500
 B
 demanded
 1,500
 D

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28. Assume that the cost of aluminum used by soft-drink companies increases. Indicate which of the following statements describing the resulting effects in the market for soft drinks distributed in aluminum cans are true (T) or false (F).

a. The demand for soft drinks decreases. ☐

b. The quantity of soft drinks demanded decreases. ☐

c. The supply of soft drinks decreases. ☐

d. The quantity of soft drinks supplied decreases. ☐

Answers F

 T

 T

 F

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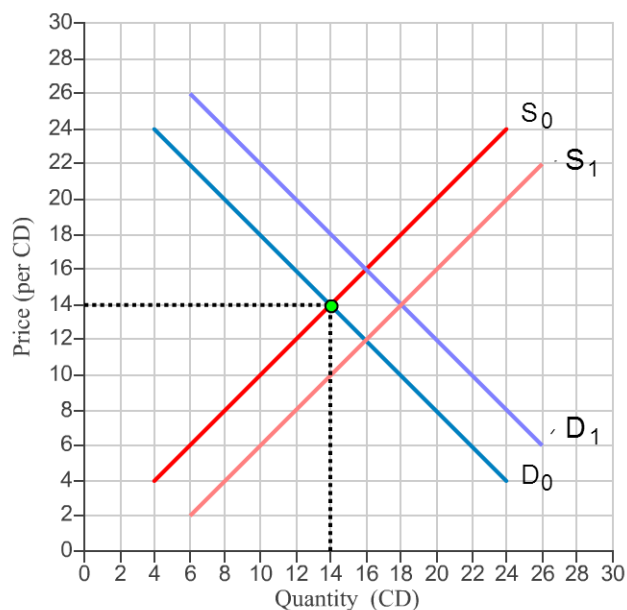
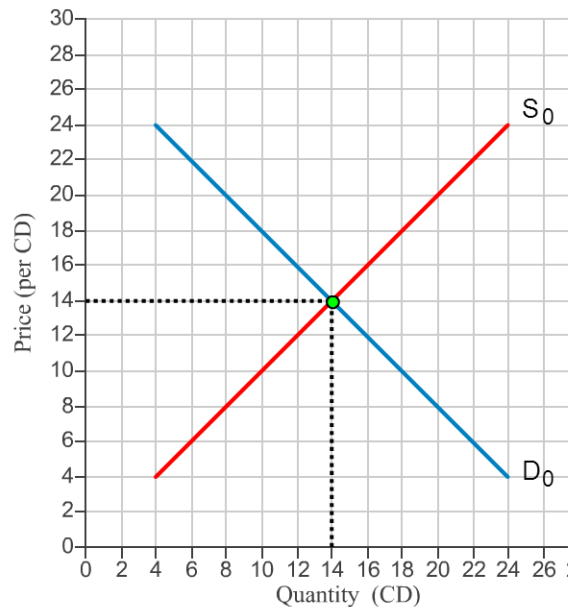
29. The graph indicates the market equilibrium for alternative music CDs.

Suppose that consumer tastes for alternative music CDs become more favorable. At the same time a new technology has been adopted in the industry that improves the production of alternative music CDs.

1.) Using the line drawing tool, draw a new demand curve that is parallel to D_0 for alternative music CDs that indicates a \$2 equilibrium price increase. Label this D_1 .

2.) Using the line drawing tool, draw a new supply curve that is parallel to S_0 for alternative music CDs that returns the equilibrium price to \$14. Label this S_1 .

Carefully follow the instructions above, and only draw the required objects.



Answer:

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30. If the demand and supply curves increase (shift outward) by identical proportions then

- ☐ A. equilibrium price increases but quantity falls.
- ☐ B. equilibrium price and quantity both increase.
- ☐ C. equilibrium price and quantity do not change.
- ☐ D. equilibrium price stays the same and quantity rises.

What if the increase in demand were larger than the increase in supply?

- ☐ A. The equilibrium price increases and the quantity decreases.
- ☐ B. The equilibrium price and quantity decrease.
- ☐ C. The equilibrium price decreases and the quantity increases.
- ☐ D. The equilibrium price and quantity increase.

What if the increase in demand were smaller than the increase in supply?

- ☐ A. Equilibrium price rises and quantity falls.
- ☐ B. Equilibrium price falls and quantity rises.
- ☐ C. Equilibrium price and quantity both rise.
- ☐ D. Equilibrium price and quantity both fall.

Answers D

D

B

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31. The following table gives the demand and supply schedules for widgets.

Price	Quantity Demanded	Quantity Supplied
\$25	164	230
\$20	176	220
\$15	188	210
\$10	200	200
\$5	212	190

The equilibrium price in this market is \$.

The equilibrium quantity in this market is units.

If the price in this market was \$20, there would be a

shortage
surplus

of units.

Answers 10
 200
 surplus
 44

32. The price at which quantity demanded equals quantity supplied and at which the demand curve intersects the supply curve is called the market clearing price.

☐ A. True

☐ B. False

Answer: A

33. At equilibrium, there is neither excess quantity supplied nor excess quantity demanded.

☐ A. True

☐ B. False

Answer: A

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34. In a price system, changes in prices

- ☐ A. signal to policymakers what goods should and should not be taxed.
- ☐ B. imply that people have made mistakes in the past.
- ☐ C. make it difficult for the economy to function well.
- ☐ D. signal to consumers that some goods are relatively more or less scarce.

Answer: D

35. The price of milk increases. Which of the following is *not* part of the likely chain of events that follows from this price change?

- ☐ A. Some consumers of milk reduce their consumption of milk.
- ☐ B. The demand for orange juice increases.
- ☐ C. Producers of milk increase their production of milk.
- ☐ D. The manufacturers of milking machines lay off some workers.

Answer: D

36. Buyers and sellers receive information about what should be bought and what should be produced

- ☐ A. by listening to TV news programs.
- ☐ B. from friends and family.
- ☐ C. from prices in a market system.
- ☐ D. from newspaper gossip columns.

Answer: C

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37. Suppose that a country band called Only Here has released its first CD with Wanted Records at an intended list price of \$14.99. Music stores have discovered that they can markup the price to \$17.99 with continued strong sales. What information does this higher price convey to the recording label?
- ☐ A. The price of the CD was too expensive to begin with.
 - ☐ B. The recording label should cut back on the production and distribution of Only Here's first CD.
 - ☐ C. The markup by music stores indicates a surplus of Only Here's CD on store shelves.
 - ☐ D. The recording label should expand the production and distribution of Only Here's first CD.

Answer: D

38. Voluntary exchange
- ☐ A. relates to price ceilings and price floors.
 - ☐ B. is not part of the market system.
 - ☐ C. makes one party better off while making the other party worse off.
 - ☐ D. makes both parties to a trade better off.

Answer: D

39. In a market system, how are the terms of exchange established?
- ☐ A. Industry associations set up acceptable price ranges for their goods, and firms within each industry are required to set price within its relevant range.
 - ☐ B. Federal and state legislation establish minimum and maximum prices.
 - ☐ C. Consumer advocacy groups establish fair prices for items, and most firms comply because they don't want to anger their customers.
 - ☐ D. The forces underlying supply and demand interact to set a price.

Answer: D

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40. Which of the following is *not* an example of a transaction cost?
- ☐ A. The time and effort spent researching the product as well as its various sellers.
 - ☐ B. The opportunity cost of time spent looking for stores selling the desired item.
 - ☐ C. The enjoyment of using the good.
 - ☐ D. The cost of returning a defective product.

Answer: C

41. In a price system,
- ☐ A. relative prices do not signal information about changes in market conditions.
 - ☐ B. relative prices are set by central planners based on projected supply and demand.
 - ☐ C. relative prices change infrequently due to transaction costs.
 - ☐ D. relative prices change constantly to reflect changes in supply and demand.

Answer: D

42. In general, the less organized the market, the lower the transaction costs.
- ☐ A. False
 - ☐ B. True

Answer: A

43. Middlemen specialize in lowering transaction costs.
- ☐ A. False
 - ☐ B. True

Answer: B

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44. The diagram at right shows the market for basic cell phones.

In recent years, technological improvements have greatly reduced the costs of producing basic cell phones, and a number of new firms have entered the cell phone industry.

At the same time, prices of substitutes for cell phones, such as smartphones and some tablet devices, have declined considerably.

Using the line drawing tool, illustrate the impacts of these developments on both the demand and supply. Label the new lines.

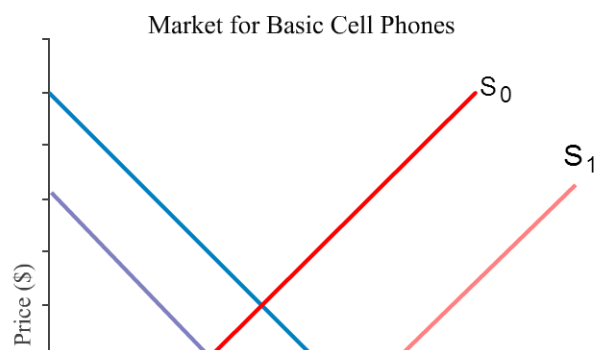
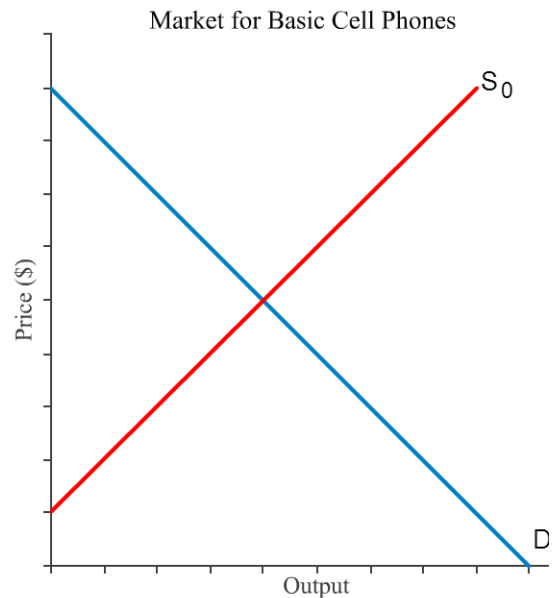
Carefully follow the instructions above, and only draw the required objects.

The equilibrium market price will

increase
decrease
change in an indeterminate way

The equilibrium market quantity will

decrease
increase
change in an indeterminate way

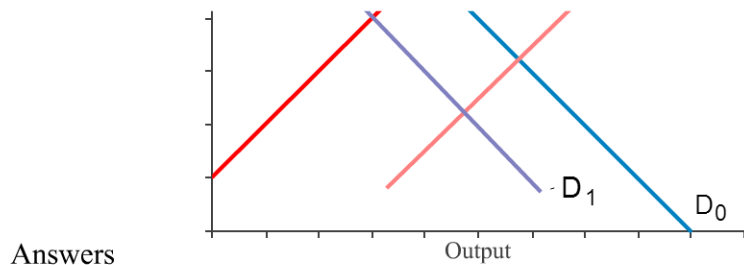


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44.
(cont.)



decrease

change in an indeterminate way

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45. The diagram at right shows the market for pharmaceutical drugs.

The pharmaceutical industry has benefited from advances in research and development that enable manufacturers to identify potential cures more quickly and therefore at lower cost.

At the same time, the aging of our society has increased the demand for new drugs.

Using the line drawing tool, illustrate the impacts of these developments on both the demand and supply. Label the new lines.

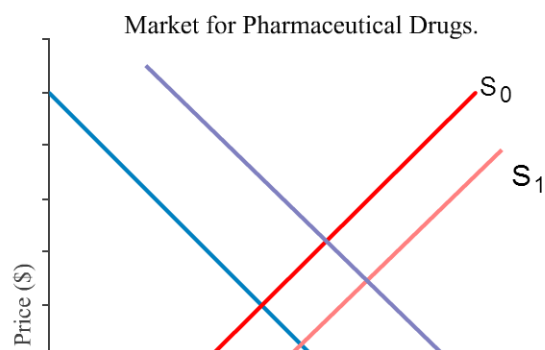
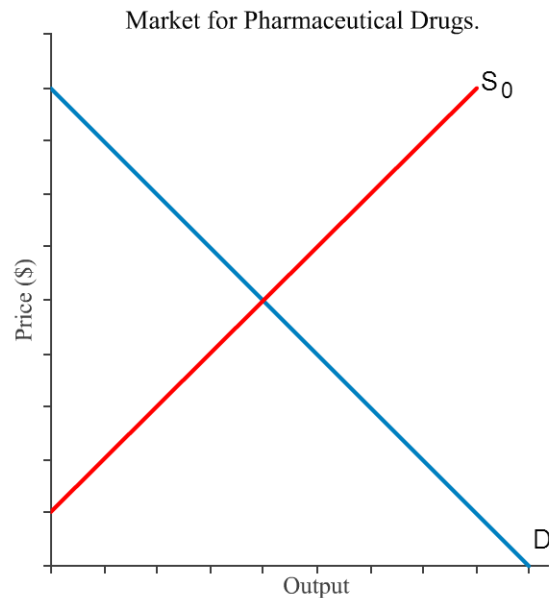
Carefully follow the instructions above, and only draw the required objects.

The equilibrium market quantity will

change in an indeterminate way
increase
decrease

The equilibrium market price will

change in an indeterminate way
increase
decrease

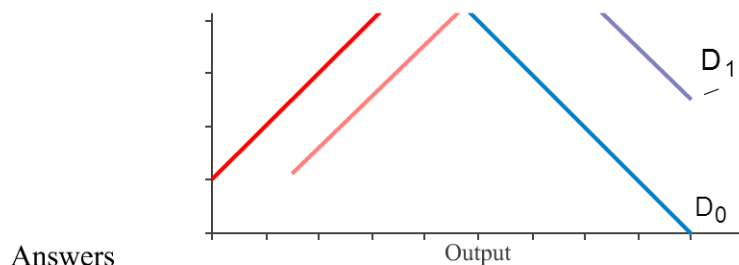


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45.
(cont.)



increase

change in an indeterminate way

46. There are simultaneous changes in the demand for and supply of global-positioning-system (GPS) devices, with the consequences being an unambiguous increase in the market clearing price of these devices but no change in the equilibrium quantity. What changes in the demand for and supply of GPS devices could have generated these outcomes?

- ☐ A. Demand increases and supply increases.
- ☐ B. Demand decreases and supply decreases.
- ☐ C. Demand decreases and supply increases.
- ☐ D. Demand increases and supply decreases.

Answer: D

47. There are simultaneous changes in the demand for and supply of tablet devices, with the consequences being an unambiguous increase in the equilibrium quantity of these devices but no change in the market clearing price. What changes in the demand for and supply of tablet devices could have generated these outcomes?

- ☐ A. Demand increases and supply decreases.
- ☐ B. Demand decreases and supply decreases.
- ☐ C. Demand increases and supply increases.
- ☐ D. Demand decreases and supply increases.

Answer: C

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48. When demand decreases and the (upward sloping) supply curve remains in the same position,
- ☐ A. price rises and equilibrium quantity falls.
 - ☐ B. price falls and equilibrium quantity falls.
 - ☐ C. price falls and equilibrium quantity rises.
 - ☐ D. price rises and equilibrium quantity rises.

Answer: B

49. Other things remaining equal, a decrease in the world oil supply like those that occurred in 1973-74 and 1979 would
- ☐ A. decrease the price of airline travel and decrease its equilibrium quantity.
 - ☐ B. increase the price of airline travel and decrease its equilibrium quantity.
 - ☐ C. decrease the price of airline travel and increase its equilibrium quantity.
 - ☐ D. increase the price of airline travel and increase its equilibrium quantity.

Answer: B

50. What happens in the market with an upward sloping supply curve when there is a shift in the demand curve due to an external shock?
- ☐ A. Price will not change.
 - ☐ B. Price will immediately adjust to a new equilibrium.
 - ☐ C. Production decisions will be unaffected.
 - ☐ D. A new equilibrium price will be achieved over some period of time.

Answer: D

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51. During World War II, many goods such as butter, sugar, and gasoline were rationed or price controls were imposed.

The graph on the right shows the market for gasoline.

Suppose that the government decides to set a price ceiling of \$2.00 on gasoline. This price is shown on the graph.

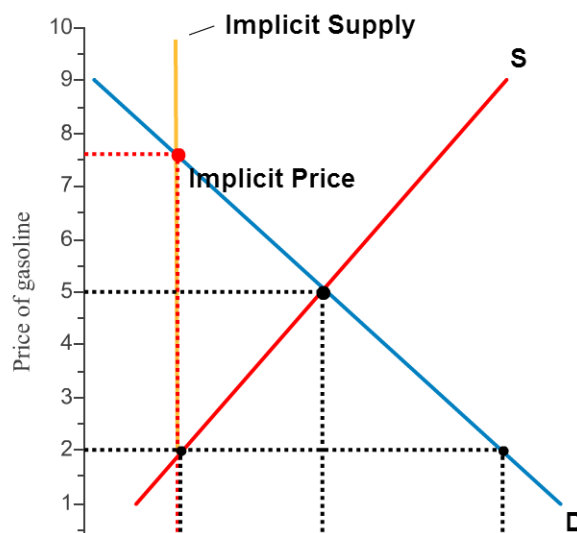
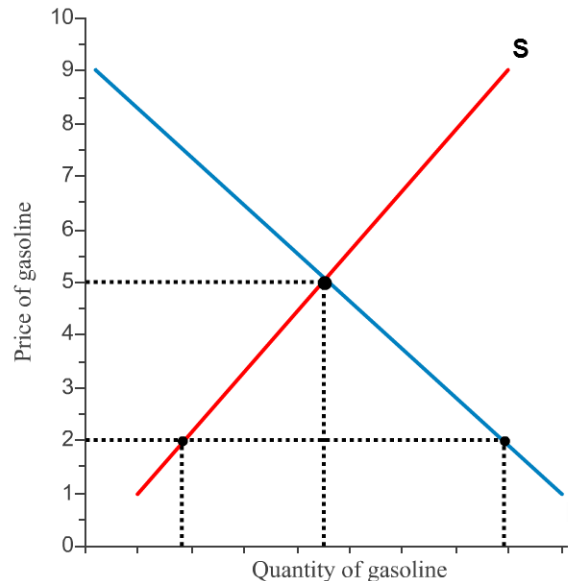
1.) *Using the line drawing tool*, show the implicit supply curve, given the price ceiling. Label it 'implicit supply'.

2.) *Using the point drawing tool*, identify the implicit price and quantity. Label it 'implicit price'.

Carefully follow the instructions above, and only draw the required objects.

The black market price of gasoline, including cost of time, is likely to be

higher than the original equilibrium price
equal to the original equilibrium price
less than the original equilibrium price



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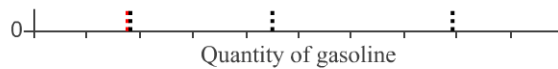
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51.

(cont.)

Answers



higher than the original equilibrium price

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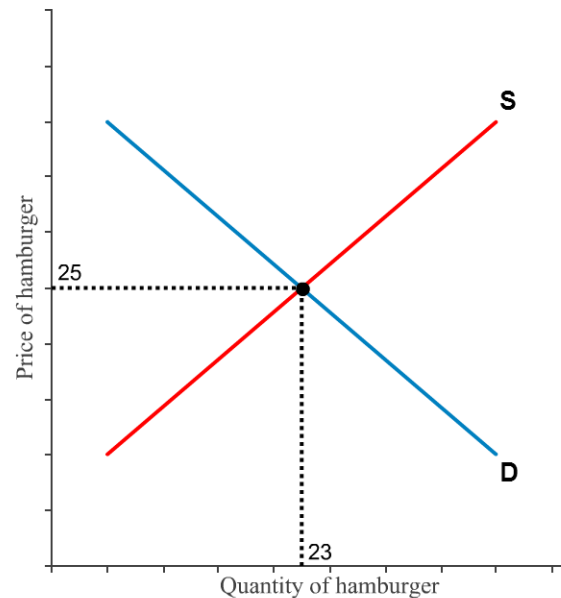
52. The graph on the right shows the market for hamburger, which is in equilibrium. Hamburger is a normal good, and people like to eat cheese with hamburger. Beef is an input to hamburger production.

Suppose that there is an increase in the price of beef.

1.) Using the line drawing tool, show the effect on the market. Properly label your new curve.

2.) Using the point drawing tool, show the new equilibrium price and quantity. Label your point 'E'.

Carefully follow the instructions above, and only draw the required objects.

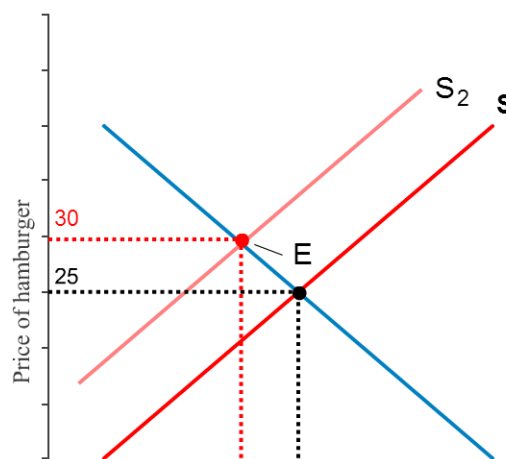


At the new equilibrium, price is

higher
unchanged
lower

and quantity is

higher
unchanged
lower

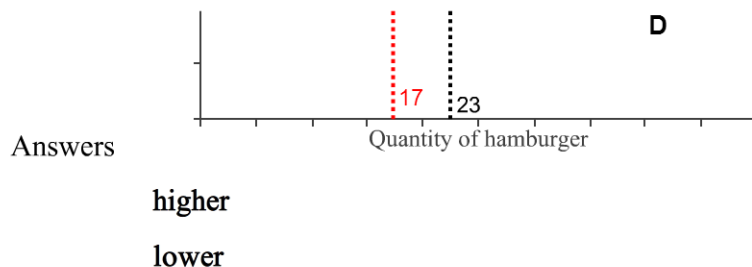


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52.
(cont.)



53. The market for corn is initially in equilibrium. Suppose the production of biofuels, which use corn as an input, decreases, and at the same time, decreases in the price of oil cause farm production costs to fall.

Which of the following explains the effect on equilibrium price and quantity in the corn market?

- ☐ A. The price of corn will fall, but the effect on equilibrium quantity cannot be determined without more information.
- ☐ B. The quantity of corn will fall, but the effect on equilibrium price cannot be determined without more information.
- ☐ C. The price and quantity of corn will fall.
- ☐ D. The quantity of corn will rise, but the effect on equilibrium price cannot be determined without more information.
- ☐ E. The price and quantity of corn will rise.

Answer: A

54. Scarcity implies that

- ☐ A. there will always be shortages.
- ☐ B. a way of rationing supplies of goods must be found.
- ☐ C. middlemen perform no useful function in society.
- ☐ D. there can never be surpluses for long periods of time.

Answer: B

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55. In a market-based economy, what is the role of a system of prices?

- ☐ A. To make goods and services too expensive.
- ☐ B. To create shortages.
- ☐ C. To address the problem of scarcity.
- ☐ D. To create abundance and surpluses.

Answer: C

56. Given the existence of relative scarcity, resources can be rationed by

- ☐ A. queuing, or standing in line.
- ☐ B. political mandate.
- ☐ C. a system of prices.
- ☐ D. All of the above.

Answer: D

57. Government-enforced prices such as price ceilings

- ☐ A. are only imposed on goods where market price has no useful function.
- ☐ B. ration economic resources more efficiently than prices in a market system.
- ☐ C. disrupt the rationing function performed by prices in a market system.
- ☐ D. aid in the rationing function performed by prices in a market system.

Answer: C

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58. The following table depicts the quantity demanded and quantity supplied of studio apartments in a small college town.

Monthly Rent	Quantity Demanded	Quantity Supplied
\$400	3,000	1,600
\$450	2,500	1,800
\$500	2,000	2,000
\$550	1,500	2,200
\$600	1,000	2,400

What is the market price of apartments in this town? \$.

What is the equilibrium quantity of apartments in this town? .

If this town imposes a rent control of \$450 per month, how many studio apartments will be

rented?

Answers 500
 2,000
 1,800

59. Black markets usually arise when there are

- ☐ A. price ceilings.
☐ B. price floors.
☐ C. price quotas.
☐ D. price subsidies

Answer: A

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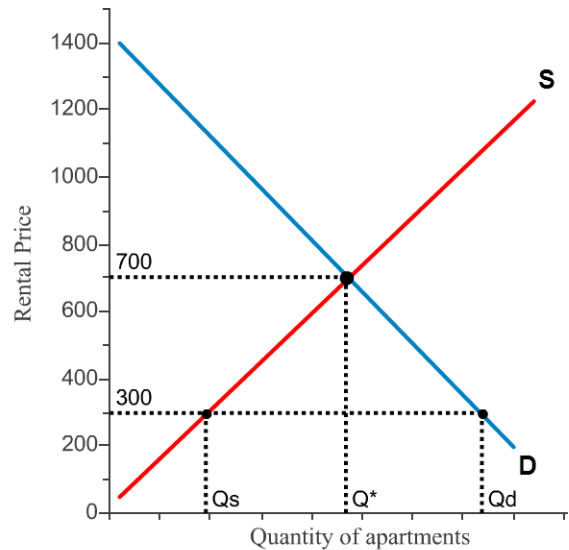
60. Many U.S. cities, especially those with large populations of renters, have rent controls.

Suppose that San Francisco sets a rent control of \$300 per month on one-bedroom apartments. The graph on the right shows this situation.

The rent control will create a of
 apartments equal to .

The price of apartments would be \$ if there was no rent control. With the rent control, the implicit or black market price is likely to be

the ceiling price of \$300
 equal to the original price
 around \$1100



Answers **shortage**

$(Q_d - Q_s)$

700

around \$1100

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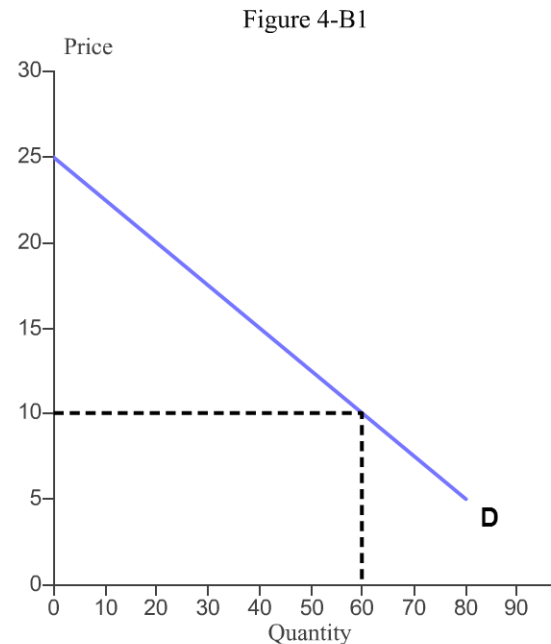
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61. The concept of consumer surplus is best described by the following situation.
- ☐ A. Jamie bought twenty video games at \$2 apiece, since these were on sale.
 - ☐ B. Kevin was surprised that he could sell his economics text for \$26 on Amazon, although he was willing to accept \$20 for it.
 - ☐ C. Ron purchased a laptop last month for \$700, now it is selling for \$550.
 - ☐ D. The maximum price that Jackie was willing to pay for an iphone was \$400, but she bought it for \$250 on black Friday.

Answer: D

62. Figure 4-B1 shows the market for economics textbooks. What will be the value of consumer surplus if the market price is \$10?

- ☐ A. \$450.
- ☐ B. \$600.
- ☐ C. \$1500.
- ☐ D. \$900.



Answer: A

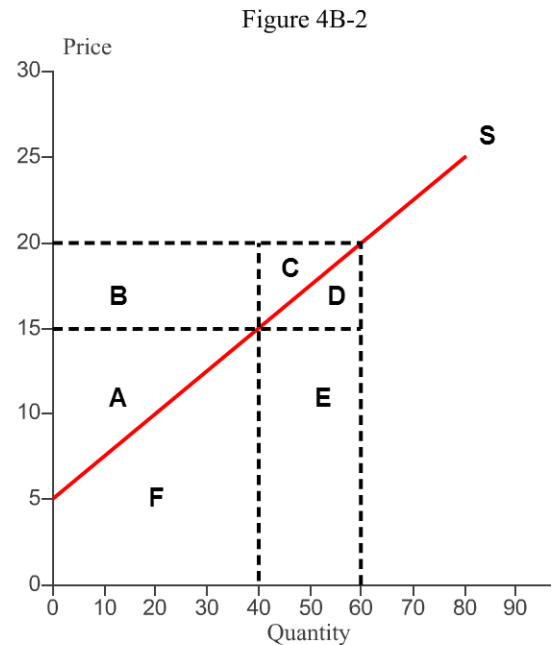
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63. Consider the figure 4B-2. If the price is \$20, find the area that represents producer surplus.

- ☐ A. C + D.
☐ B. A + B.
☐ C. A + B + C.
☐ D. F + E + D.

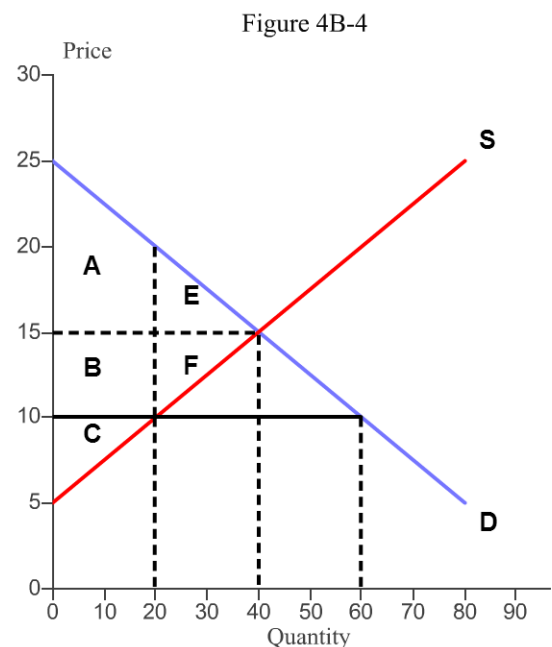


Answer: C

64. Figure 4B-4 shows the market for economics textbooks. Suppose the government thinks that the market clearing price is too high and tries to help the consumers by imposing a ceiling price of \$10.

What is the area in Figure 4B-4 that represents producer surplus after the imposition of the price ceiling?

- ☐ A. A + B + E + F.
☐ B. A + E.
☐ C. C + B + F.
☐ D. C.



Answer: D

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Date: _____
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65. Producer surplus at any specific quantity is measured as the _____ distance between the supply curve and the level of the market clearing _____.

- ☐ A. horizontal; price
- ☐ B. vertical, quantity
- ☐ C. vertical; price
- ☐ D. horizontal; quantity

Answer: C

66. Joe's Campus Grille priced its hamburgers at \$2.00, they sold 200 per day. When the price was \$3.00, they sold 150 per day. Based on this information and using the average-values formula, the absolute value of the price elasticity of demand for hamburgers is

- ☐ A. 2.00
- ☐ B. 0.50
- ☐ C. 0.71
- ☐ D. 1.41

Based on the above calculation, demand for hamburgers is considered to be

inelastic
unit-elastic
elastic

Answers C

inelastic

67. The short-run price elasticity of demand for tires is 0.90. The mid-point formula was used for this calculation.

If an increase in the price of petroleum (used in producing tires) causes the market prices of tires to rise from \$50 to \$60, by what percentage would you expect the quantity of tires demanded to change? %.

(Your answer should have one decimal place, and should not have a negative sign).

Answer: 16.4

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68. The diagram at right depicts the demand curve for "miniburgers" purchased from Joe's Campus Grill. Use the information in this diagram to answer the questions that follow.

a. What is the price elasticity of demand along the range of the demand curve between a price of \$0.40 per miniburger and a price of \$0.20 per miniburger?

(Your answer should have two decimal places and include the correct sign).

The demand is

elastic
unit elastic
inelastic

b. What is the price elasticity of demand along the range of the demand curve between a price of \$1.20 per miniburger and a price of \$0.80 per miniburger?

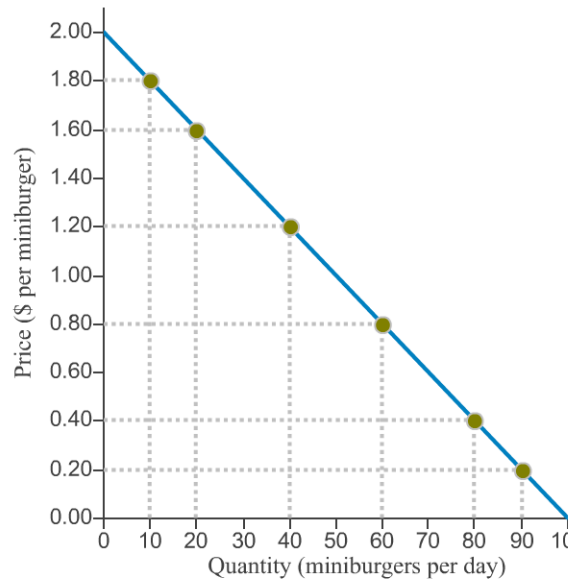
(Your answer should have two decimal places and include the correct sign.)

The demand is

inelastic
elastic
unit elastic

c. What is the price elasticity of demand along the range of the demand curve between a price of \$1.20 per miniburger and a price of \$1.60 per miniburger?

(Your answer should have two decimal places and include the correct sign.)



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68.
(cont.)

The demand is

inelastic
unit elastic
elastic

Answers – 0.18

inelastic

– 1.00

unit elastic

– 2.33

elastic

69. At a price of \$17.00 to play 18 holes on a golf course, 150 consumers pay to play a game of golf each day. Increasing the price to \$21.50 causes the number of consumers to decline to 110.

What is the price elasticity of demand, expressed as a positive number? (Round your answer to two decimal places.)

The demand is

elastic
inelastic

Answers 1.32

elastic

70. Price elasticity of demand is defined as

- ☐ A. quantity demanded divided by the change in price.
- ☐ B. quantity demanded divided by price.
- ☐ C. the change in quantity demanded divided by the change in price.
- ☐ D. the percentage change in quantity demanded divided by the percentage change in price.

Answer: D

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71. We observe a 10 percent increase in units purchased and a(n) 2 percent decrease in price. The price elasticity of demand in terms of absolute values is

- ☐ A. 0.2
- ☐ B. - 5.0
- ☐ C. 5.0
- ☐ D. 1.0

Answer: C

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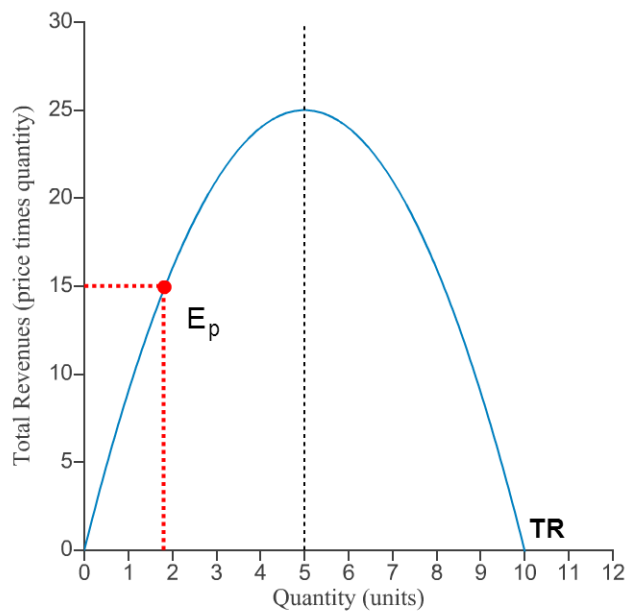
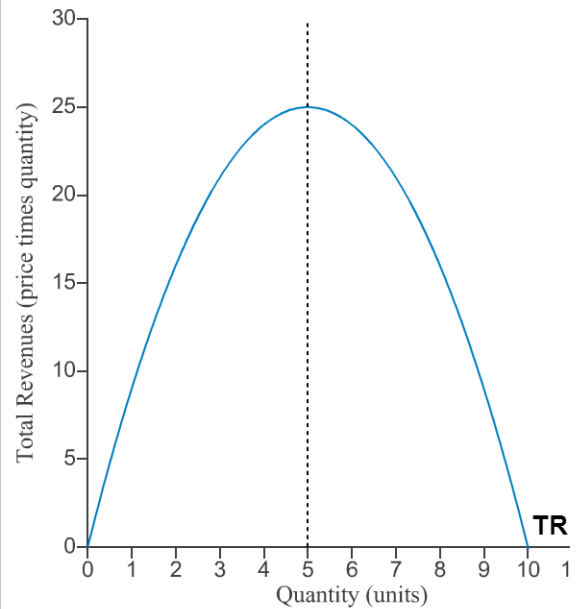
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72.

Consider the total revenue curve, which corresponds to a linear demand curve.

Using the point drawing tool, plot a point on this curve that corresponds to the elastic range of demand and label it 'E_p'.

Carefully follow the instructions above, and only draw the required object.



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73. The price elasticity of demand for gizmos is known to be 0.5 (in absolute value).

Therefore, the demand for gizmos can be described as

- ☐ A. elastic.
- ☐ B. inelastic.
- ☐ C. unitary.
- ☐ D. perfectly elastic.
- ☐ E. perfectly inelastic.

Answer: B

74. If the price of pineapples increases from \$3 to \$5, and in response the quantity of pineapples purchased decreases from 28 to 20, the price elasticity of demand for pineapples during this period is

- ☐ A. 1.19.
- ☐ B. 1.5.
- ☐ C. 0.67.
- ☐ D. 4.0.

Answer: C

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75. Based on only the information provided, characterize the demand for the following goods as being more elastic or more inelastic.

a. A 45-cent box of salt that you buy once a year: more elastic
more inelastic

b. A type of high-powered ski boat that you can rent from any one of a number of rental agencies: more inelastic
more elastic

c. A specific brand of bottled water: more inelastic
more elastic

d. Automobile insurance in a state that requires autos to be insured but has few insurance companies: more inelastic
more elastic

e. A 75-cent guitar pick for the lead guitarist of a major rock band: more inelastic
more elastic

Answers **more inelastic**
 more elastic
 more elastic
 more inelastic
 more inelastic

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76. The value of cross price elasticity of demand between goods X and Y is 2.00, while the cross price elasticity of demand between goods X and Z is -1.25 .

Which of the following are true?

- ☐ A. X and Y are complements and X and Z are substitutes.
☐ B. X and Y are substitutes and X and Z are complements.
☐ C. X and Y and X and Z are substitutes.
☐ D. X and Y and X and Z are complements.
☐ E. None of the above.

Answer: B

77. Suppose that the cross price elasticity of demand between DVD's and DVD players is -0.10 . What would you expect to happen to the sales of DVD players if the price of DVD's rises by 20 percent?

The demand for DVD players would

fall
rise

 by percent (Enter your response rounded to one decimal place.)

Answers **fall**
2.0

78. An individual's income rises from \$78,000 per year to \$83,000 per year, and as a consequence the person's purchases of movie downloads rise from 3 per month to 5 per month.

This individual's income elasticity of demand is . (Enter your response rounded to two decimal places.)

Therefore, movie downloads are

normal
substitute
inferior

 goods.

Answers 8.05
normal

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79. Which of the following is true?

- ☐ A. Income elasticity is positive for normal goods where the quantity demanded rises as income rises.
- ☐ B. Income elasticity is negative for inferior goods where the quantity demanded falls as income rises.
- ☐ C. Income elasticity is positive for normal goods where the quantity demanded falls as income falls.
- ☐ D. Income elasticity is negative for inferior goods where the quantity demanded rises as income falls.
- ☐ E. All of the above.

If the income elasticity of demand for hot dogs is -0.75 , hot dogs are

an inferior
a normal

good and

if the income elasticity of demand for lobster is 0.53 , lobster is

a normal
an inferior

good.

Answers E

an inferior

a normal

80. Which of the following would have the most elastic demand?

- ☐ A. Electricity.
- ☐ B. Salt.
- ☐ C. Cigarettes.
- ☐ D. Coca-Cola.

Answer: D

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81. An increase in the market price of men's haircuts, from \$12 per haircut to \$22 per haircut, initially causes a local barbershop to have its employees work overtime to increase the number of daily haircuts provided from 35 to 40. When the \$22 market price remains unchanged for several weeks and all other things remain equal as well, the barbershop hires additional employees and provides 55 haircuts per day.

What is the short-run price elasticity of supply? (Your answer should have two decimal places.)

What is the long-run price elasticity of supply? (Your answer should have two decimal places.)

Answers 0.23
 0.76

82. At a price of \$60,000, producers of midsize automobiles are willing to manufacture and sell 130,000 cars per month. At a price of \$85,000, they are willing to produce and sell 220,000 a month.

The price elasticity of supply is . (The answer should be rounded to one decimal place.)

Based on your answer, supply is

elastic
unit elastic
inelastic

Answers 1.5
 elastic

83. Which of the following is a determinant of the price elasticity of supply?

- ☐ A. the existence, number, and quality of substitutes
☐ B. the cost to produce the product
☐ C. the share of a consumer's total budget devoted to purchases of the product
☐ D. the length of time allowed for adjustment to changes in the price of the product

Answer: D